

Point72 Academy Summer 2027 Internship Case Study

Candidate: Hugo Beal



Datadog monitors cloud-based software systems across infrastructure, applications, and security, offering 20+ products on their comprehensive dashboard. Its consumption-based billing model creates a low-friction entry point, where a product can be adopted without the typically lengthy enterprise software procurement processes. Once a customer is deployed, every workload created generates incremental revenue without requiring new contracts.

These mechanics drive 120% NRR, creating a compounding revenue base making up 75% of 2025 ARR. Dynatrace targets large hybrid/multi-cloud enterprises on 1–3-year contracts with a minimum baseline spend, providing predictable/largely static revenue streams. Its AI engine, DavisAI, automatically diagnoses and resolves infrastructure problems, a differentiated capability, but the underlying revenue model has limited expansion mechanics. Customer spend grows primarily at renewal rather than continuously, and with fewer additional products to cross-sell into, the expansion ceiling is lower.

Ultimately, Datadog's consumption model compounds over time, where every workload its customers deploy releases additional revenue automatically, with no friction/new contract required. Dynatrace's model captures value at signing and renewal, but little in between.



Datadog (DDOG)

Total Customers: ~32,700
Avg. ARR/Customer: \$104,800
Annual NRR: 120%



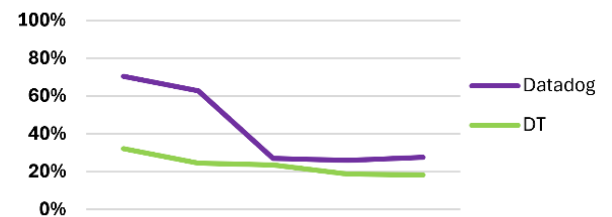
Dynatrace (DT)

Total Customers: ~6,000
Avg. ARR/Customer: \$500,000
Annual NRR: 111%

Revenue Growth / EBIT Margins / TAM

Both companies benefited from cloud migration during COVID, but Datadog's cloud-native focus produced a larger revenue spike. When spending pulled back, its growth dropped sharply, as 50% growth was never sustainable after capturing 13-14% of its core market so quickly. Dynatrace's decline was more gradual, as multi-year contracts insulate revenue from short-term spending shifts.

Revenue Growth Rate (Last 5 Years)



Note: 75% of companies reported to prioritize cloud-native development by 2022
Source: VentureBeat

Datadog and Dynatrace's key EBIT margin discrepancy lies in their respective operating expenditure allocations, with DDOG's significantly higher R&D spend being its primary competitive differentiator. It reflects heavy investment in engineering talent (SBC) and continuous product expansion, growing from 9-20 products since 2020. Meanwhile, DT's heightened spend on S&M and G&A reflects the administrative overhead required to land and manage larger enterprise contracts.

Operating Expenses (% of Revenue, 2025A)	DDOG	DT
Gross Margin	81%	80%
Research & Development (R&D)	44%*	22%**
Sales & Marketing (S&M)	23%	36%
General & Administrative (G&A)	5%	11%
GAAP Operating Margin	0%	11%
Non-GAAP Operating Margin	22%	27%

Note: DDOG FY2025 ends Dec 31, 2025. DT FY2025 ends Mar 31, 2025.

* DDOG R&D includes \$750M+ in SBC paid to ~4,000 engineers. Non-GAAP R&D (~30%) excludes SBC

** DT R&D includes \$272M in SBC. Non-GAAP R&D (~7%) excludes SBC

Datadog has captured less than 10% of a \$39B addressable market. Dynatrace has already reached nearly half of its \$4.2B addressable market. Datadog is in the early stages of a large and expanding market while Dynatrace is a mature business with limited room to grow through new customer acquisition.

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DDOG - Bottom-up Forward Looking TAM Scenario Analysis (2027E)

Segmented by Company ARR Across 3 Pillars: Infrastructure Monitoring, APM, Security

SMB (\$0-\$100K ARR)	Bear (2027E)	Base (Current)	Bull (2027E)
Addressable Companies	160K	160K	160K
Penetration % / #	17% / 27.2K	17.8% / 28.4K	20% / 32K
Average ARR	\$11K	\$12K	\$13K
Mid-Market (\$100K-\$1M ARR)			
Addressable Companies	38K	38K	38K
Penetration % / #	9% / 3,420	9.8% / 3,710	11% / 4,180
Average ARR	\$330K	\$343K	\$360K
Enterprise (\$1M+ ARR)			
Addressable Companies	8K	8K	8K
Penetration % / #	7% / 560	7.5% / 600	9% / 720
Average ARR	\$2.9M	\$3.0M	\$3.2M
ARR - SMB	\$299,200,000	\$340,800,000	\$416,000,000
ARR - Mid-Market	\$1,128,600,000	\$1,272,530,000	\$1,504,800,000
ARR - Enterprise	\$1,624,000,000	\$1,800,000,000	\$2,304,000,000
Total Implied ARR	\$3,051,800,000	\$3,413,330,000	\$4,224,800,000
TAM - SMB	\$1,760,000,000	\$1,920,000,000	\$2,080,000,000
TAM - Mid-Market	\$12,540,000,000	\$13,034,000,000	\$13,680,000,000
TAM - Enterprise	\$23,200,000,000	\$24,000,000,000	\$25,600,000,000
TAM	\$37,500,000,000	\$38,954,000,000	\$41,360,000,000

DT - Bottom-up Forward Looking TAM Scenario Analysis (2027E)

Segmented by Company Revenue Across DT's Observability, Davis AI, and Security Platforms

SMB & Mid-Market (\$0-\$15B Revenue)	Bear (2027E)	Base/Current	Bull (2027E)
Addressable Companies	8,000	8,000	8,000
Penetration % / #	5.0% / 400	7.3% / 585	10.5% / 840
Average ARR	\$65K	\$75K	\$85K
Large Enterprise (\$1B-\$15B Revenue)			
Addressable Companies	9.3K	9.3K	9.3K
Penetration % / #	26% / 2,418	31.2% / 2,900	37% / 3,441
Average ARR	\$225K	\$255K	\$280K
Hyperscale (\$15B+ Revenue)			
Addressable Companies	750	750	750
Penetration % / #	65% / 488	80% / 600	85% / 638
Average ARR	\$1.35M	\$1.58	\$1.85M
ARR - SMB/Mid	\$26,000,000	\$43,875,000	\$71,400,000
ARR - Large Enterprise	\$544,050,000	\$739,500,000	\$683,480,000
ARR - Hyperscale	\$658,800,000	\$948,000,000	\$1,180,300,000
Total Implied ARR	\$1,228,850,000	\$1,731,375,000	\$1,935,180,000
TAM - SMB/Mid	\$520,000,000	\$600,000,000	\$680,000,000
TAM - Large Enterprise	\$2,092,500,000	\$2,371,500,000	\$2,604,000,000
TAM - Hyperscale	\$1,012,500,000	\$1,185,000,000	\$1,387,500,000
TAM	\$3,625,000,000	\$4,156,500,000	\$4,671,500,000

Thesis / Elevator Pitch:

Datadog is a long with 20% upside to a \$165 price target, based on a 15x forward revenue multiple applied to a FY2026 revenue estimate of approximately \$4.3B.

Sell-side consensus has priced in Datadog's cloud migration exposure but underestimate the extent to which that shift is driving enterprises to increase cybersecurity spend. US cybercrime losses hit \$16.6 billion in 2024, up 33% year-over-year, creating a \$10.5 trillion budget pool that sits outside the observability TAM the market is currently valuing Datadog on.

Datadog's security ARR is growing in the mid-50s percent year-over-year, outpacing every other Datadog product. This isn't existing customers adding a module, it's enterprises reallocating budget that historically belonged to other dedicated vendors. The market has not yet priced how Datadog's revenue will be affected by owning both.

The key catalyst is continued security ARR acceleration in confirming enterprises are replacing dedicated vendors rather than trialing Datadog's security products alongside existing tools. To test this, I would use Claude Code to pull earnings transcripts from Datadog's publicly traded enterprise customers via LSEG's Refinitiv API, categorizing results by:

- 1) client replacement, where an enterprise explicitly displaces a standalone security vendor
- 2) client acquisition, a net new security customer.

A rising share of replacement signals would confirm Datadog is capturing external budget rather than expanding internally. I would back-test these signals against historic price action via IBKR's API to assess whether vendor displacement has historically preceded a re-rating, with accelerating replacement signals over the next two to three quarters serving as the primary trigger to increase conviction.

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APPENDECES:

TAM | APPENDIX A – Datadog (DDOG)

A1) Known Figures:

Total customers: 32,700 – DDOG FY2025 10-K. Spans 150+ countries, ~70%+ USA-concentrated

Total revenue: \$3.43B – DDOG FY2025 10-K. Standalone ARR, not disclosed revenue used as proxy given ~95% subscription-based model

Blended avg. ARR/customer: ~\$105K – (Revenue: \$3.43B / Customers: 32,700). Treated as known given both inputs are disclosed

Customer segmentation: \$100K+ ARR customers: 4,310 (Disclosed to account for ~90% of total ARR) // \$1M+ ARR customers: 603 (Disclosed, up 31% YoY from 462) // Mid-market customers: 3,707 (implied from 4,310 - 603) // SMB customers: 28,393 (implied from 32,700 - 4,310). Represents 86.8% of customer base but only ~10% of ARR – All from DDOG FY2025 10-K.

Customer % of base by segment: SMB 86.82% / Mid 11.35% / Ent 1.83% – derived from disclosed figures above. Used as fixed segment weights across scenarios

\$100K+ cohort revenue: ~\$3.09B (90% of \$3.43B) DDOG disclosed \$100K+ ARR customers account for ~90% of ARR – DDOG FY2025 10-K.

A2) Contextual Assumptions:

Addressable companies - SMB (160K): Derived by starting from ~500K global software companies with any cloud presence, filtered for: (1) 10+ engineers, (2) cloud spend >\$50K annually, (3) containerised/microservices architecture.

Addressable companies - Mid-market (38K): Further filtered from SMB universe for: (1) \$50M+ revenue, (2) 50+ engineers, (3) dedicated DevOps/SRE function, (4) multi-cloud or hybrid architecture.

Addressable companies - Enterprise (8K): Filtered for: (1) \$500M+ revenue, (2) 200+ engineers, (3) distributed microservices at scale across multiple clouds, (4) formal vendor evaluation process. Cross-checked against Crunchbase ~9,300 companies with \$1B+ revenue globally, so 8K is relatively conservative.

Avg ARR - SMB (\$12K base): Back-solved: SMB cohort generates ~10% of \$3.43B = \$343M. \$343M / 28,393 = \$12.1K. Consistent with customers on 1-2 DDOG products at entry-level pricing.

Avg ARR - Mid-market (\$34K base): Back-solved: mid-market revenue = \$3.09B - \$1.80B (enterprise) = \$1.29B. \$1.29B / 3,707 = \$347K. Consistent with companies on 3-5 DDOG products at scale.

Avg ARR - Enterprise (\$3.0M base): Derived: 603 customers × \$3.0M = \$1.80B = ~52.5% of total ARR. \$3.0M reflects a mix of \$1–2M contracts and a smaller number of very large contracts above \$5M pulling up the average. Cross-checked: 603 customers all above \$1M minimum implies avg comfortably above \$1M.

Bear/bull penetration rates: Derived by reviewing DDOG's historical YoY cohort growth rates (\$1M+ ARR cohort: +94% in 2020, +17% in 2024, +31% in 2025) and applying a conservative/optimistic multiple to account for: LLM observability tailwind (67%+ of new software companies have LLM components per YC batch data). Bear case assumes macro headwinds slow enterprise expansion, bull assumes LLM tailwind accelerates growth materially.

TAM | APPENDIX B – Dynatrace (DT)

B1) Known Figures:

Total customers: ~4,100 – DT FY2025 10-K. Spans 105 countries. ~51% of revenue from North America (customer geographic reclassification post April 2025)

Total ARR: \$1,734M – DT FY2025 10-K. DT explicitly reports ARR as a primary operating metric. Up 15% YoY

Blended avg ARR per customer: ~\$423K – back-calculated (\$1,734M / 4,100). Not explicitly disclosed but directly derivable from two disclosed figures.

New logo average land size: ~\$130K – DT FY2025 earnings commentary. Used as ceiling anchor for mid-market avg ARR assumption

Net Revenue Retention (NRR): 110% (FY2025) – DT FY2025 10-K. Down from 119% two years prior. Primary bear case risk metric – expansion within existing accounts is slowing. Critical watchpoint for a business at 47%+ core TAM penetration

Disclosed target market: "Largest 15,000 global enterprise accounts with \$1B+ revenue" – DT FY2025 10-K. FY2025 strategic focus further narrowed to "largest 500 global companies." Validates large enterprise and hyperscale segment definitions

Seven-figure Annual Contract Value (ACV) deals: 12 deals >\$1M ACV in Q1 FY2026 – DT Q1 FY2026 earnings. Strategic enterprise pipelines up ~50% YoY. Confirms hyperscale segment is primary new ARR driver

B2) Contextual Assumptions:

Addressable companies - Mid-market, \$500M-\$1B revenue (8,000): Starting point: ~45,000 global companies with \$100M-\$1B revenue (Statista: 377K companies with 250+ employees, scaled to revenue band; OECD: 44,000 listed companies globally with 2-3x private company multiplier). Filtered to upper quartile (\$500M-\$1B): ~11,000. Further filtered for complex multi-cloud infrastructure – DT's minimum viable prospect: ~8,000. DT does not actively target this segment; customers arrive via partner channels or legacy contracts only. Conviction: LOW – upper quartile filter is a modelling assumption. Sensitivity: 5,000-12,000

Addressable companies - Large Enterprise, \$1B-\$15B revenue (9,300): Two sources triangulated: (1) Crunchbase ~10,000 companies with \$1B+ revenue globally – subtract ~700 above \$15B = ~9,300; (2) Forbes Global 2000 minimum entry \$5.8B (2024) – ~1,300 companies in \$5.8B-\$15B band; Crunchbase provides ~8,300 in \$1B-\$5.8B band; combined ~9,600. Model uses 9,300 as conservative floor – undercounts private companies in industrials, financials, and EMEA. Important caveat: DT's own disclosed target market of 15,000 accounts with \$1B+ revenue implies true addressable universe may be up to 60% larger – if so, base penetration falls from 31% to ~19%, implying materially more runway.

Addressable companies - Hyperscale, \$15B+ revenue (750): Derived from three sources: (1) Fortune Global 500 – all 500 qualify above \$15B (combined \$41.7T / 500 = ~\$83B average; Fortune Global 500 2024); (2) Forbes Global 2000 minimum entry \$5.8B – companies ranked ~501–700 sit in \$15B–\$28B band, adding ~200 not on Fortune list; (3) ~50 large private companies above \$15B not on either list (e.g. Koch Industries ~\$125B, Cargill ~\$165B). Total: ~750. Most defensible figure in model.

Segment customer split (base): Mid-market 585 / Large enterprise 2,900 / Hyperscale 600 – back-solved to satisfy three simultaneous constraints: (1) total customers = 4,100, (2) total ARR = \$1,734M, (3) blended avg ARR = \$423K. Hyperscale count (600) consistent with DT's strategic focus on largest 500 global companies. Large enterprise (2,900) implies 31% penetration of 9,300 addressable companies.

Avg ARR - Mid-market (\$75K base): Set below DT's disclosed new logo land size (~\$130K) to reflect passive partner-channel acquisition rather than direct sales – implying simpler, lower-value initial contracts. Deliberately conservative to prevent mid-market TAM from being overstated relative to DT's enterprise focus.

Avg ARR - Large enterprise (\$255K base): Back-solved: large enterprise ARR = \$740M (42.7% of \$1,734M) / 2,900 customers = \$255K. Consistent with companies on DT's full platform at scale – above new logo land size (\$130K) reflecting upsell over time, below hyperscale tier.

Avg ARR - Hyperscale (\$1.585M base): Back-solved: hyperscale ARR = \$951M (54.8% of \$1,734M) / 600 customers = \$1.585M. Consistent with Fortune 500-scale deployments across complex multi-cloud environments. Cross-checked: 12 seven-figure ACV deals in Q1 FY2026 alone confirms contracts at this magnitude are a regular occurrence.

Bear/bull penetration rates: Bear reflects intensifying DDOG competition eating into DT's core enterprise base, continued NRR compression below 110%, and slowing expansion within existing accounts. Bull reflects DT's AI platform differentiation successfully driving upsell at renewal, and hyperscale customers deepening platform adoption. Hyperscale penetration is held near-flat across scenarios – at 80%+ base penetration, new logo upside is minimal and bull case upside is entirely dependent on ARR expansion within existing accounts.

Additional Sources:

IBM Quote: <https://newsroom.ibm.com/2022-09-28-Global-Business-Leaders-Say-Hybrid-Cloud-is-Critical-to-Modernization,-Yet-Security,-Skills-and-Compliance-Concerns-Impede-Success#:~:text=In%20fact%2C%2071%25%20of%20those,%22advanced%22%20in%20their%20transformation.>

Software Growth: <https://www.sec.gov/Archives/edgar/data/1561550/0001561550250000216/ex-991x20250630x8k.htm>

DDOG Product Count: [Datadog \(DDOG\) Q2 2021 Update - Software Stack Investing](#)

Cloud Migration Trends: [Report: 75% of companies are focusing on cloud-native apps | VentureBeat](#)

DT 1-3 Year Contract Information: [Understanding DPS capabilities — Dynatrace Docs](#)

DDOG Customer Split: [What is Customer Demographics and Target Market of Datadog Company? — SWOTTemplate.com](#)

Continued Cloud Migration: [Gartner Forecasts Worldwide Public Cloud End-User Spending to Total \\$723 Billion in 2025](#)

Cybercrime losses: [AI-Powered Cybercrime Is Surging. The US Lost \\$16.6 Billion in 2024. | Vox](#)

Global Cybersecurity Cost: [Data Breach Statistics & Trends \[updated 2025\]](#)

DT MTTR Decrease: [AI-Enhanced Monitoring and Observability: Mastering Datadog Watchdog AI, Dynatrace Davis AI, New Relic AIOps & Sysdig for Real-World DevOps Impact | by Iliya Gamikh | Medium](#)